Yantai Jereh - A

First Take: 3Q26 margin expansion drives profit +14% q/q; AIDC revenue visibility building; stay OW

Overweight

002353.SZ, 002353 CH
Price: Rmb91.00
21 Oct 2026
Price Target: Rmb162.00
PT End Date: 31 Dec 2027

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Our First Take: Jereh's 3Q26 results are likely to be taken slightly positively by the market, in our view, as the company reported a net profit of Rmb691mn, up 22% y/y. 3Q revenue was flat q/q, but profitability stood out, as gross margin expanded to 33% (vs. 29% in 2Q26 and 33% in 3Q25). The result may have been supported by: (1) a higher mix of high-margin AIDC equipment deliveries as production ramped; and (2) lower impairments. The key drag was still FX, with a 9M FX loss of Rmb373mn vs. an FX gain of Rmb25mn last year (recurring 3Q net profit Rmb776mn, up 28% y/y). The key upside catalyst remains AIDC power equipment new orders, with a US market ramp in 2027E/28E. We stay OW.

Key Positives

(1) Margin expansion: 3Q recurring net margin was 18% vs. 16%/17% in 2Q26/3Q25. **(2)** AIDC power equipment order book stepped up: Per channel tracking, 3Q AIDC new orders were Rmb10.2bn, dominated by the July Power Systems order of US$1.465bn. This follows 1Q/2Q AIDC new orders of Rmb2.0bn/Rmb4.5bn. **(3)** Building orderbook-to-revenue visibility: Contract liabilities were up 263% ytd on major project advance receipts, inventory was up 40%, and prepayments were up 297% ytd on production buildout.

Key Negatives/Question Marks

(1) FX loss remained a swing factor: 9M booked an FX loss of Rmb373mn vs. an FX gain of Rmb25mn last year, while other comprehensive income fell 91.6% ytd on foreign-currency translation losses. **(2)** Operating cash flow conversion lagged: 9M net operating cash flow was Rmb2,413mn, down 17.6% ytd, as procurement payments for major projects outpaced receipts.

Likely Changes to Consensus

Jereh's share price underperformance since 2Q results (-37% since 13 August 2026 vs. -14% for SZCOMP) largely prices in market concerns about the AIDC order book outlook for 2027/28, in our view. We see the 3Q print (+22% y/y, margin-led) and Rmb10.2bn AIDC order as supportive factors for FY27 earnings consensus. We believe FY26 consensus may be trimmed modestly, given FX impacts, and that FY27 estimates should sustain as gross margin moves up, with durable AIDC order flow into 4Q26/1Q27.

Expected Stock Reaction

We expect a slightly positive market reaction to Jereh's 3Q results because margin expansion and AIDC power equipment order became more visible for upcoming quarters.

See page 3 for analyst certification and important disclosures, including non-US analyst disclosures.

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Table 1: Jereh quarterly earnings summary

Rmb mn	3Q25	2Q26	3Q26	y/y	q/q
Total revenue	**3,519**	**4,356**	**4,328**	**23%**	**(1%)**
COGS	(2,480)	(3,093)	(2,909)	17%	(6%)
Other operating expenses	(356)	(538)	(587)		
Operating income	**683**	**725**	**832**	**22%**	**15%**
Other non-operating income (loss)	12	(10)	(6)		
Pretax profit	**695**	**715**	**826**	19%	16%
Taxes	(100)	(90)	(124)		
Effective tax rate, %	14%	13%	15%		
Non-controlling interests	(29)	(17)	(11)		
Adjusted net income	**567**	**608**	**691**	**22%**	**14%**

Source: Jereh 3Q26 results reports, as of 21 October 2026, J.P. Morgan.

Investment Thesis

Yantai Jereh Oilfield is an integrated oilfield service provider offering equipment and services such as fracturing, drilling, maintenance, engineering and environmental management, with revenue and profit focused on equipment manufacture and oil & gas engineering and technical services. In recent years, Jereh has built an integrated natural gas development ecosystem, capturing growing demand across the international industrial chain. In addition, its breakthrough into the AIDC data center power equipment market has created a meaningful new earnings pillar.

Our bullish outlook is based mainly on the positives of: (1) Jereh's AIDC data center power equipment wins highlighting its ability to leverage modular equipment expertise for the high-growth AI data center power supply market in the US; and (2) Jereh's integrated gas development ecosystem capturing growing demand from the international gas industrial chain. Therefore, we rate the stock OW.

Valuation

Our Dec-27 PT of Rmb162 is based on a 32.4x one-year-forward P/E, below Jereh's three-year-high P/E valuation of 39.2x; this reflects our positive view on Jereh's AI-related new orders and the mildly negative impact of China's frac equipment demand slowdown.

Risks to Rating and Price Target

Downside risks include:

- An AIDC power equipment demand slowdown.
- A traditional oilfield services equipment demand decline.
- A gross margin squeeze due to industrial competition.
- Lower new order wins in the US and Middle East markets.

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Date	Rating	Price (Rmb)	Price Target (Rmb)
05-Feb-24	UW	24.95	20
13-Mar-25	UW	35.60	22
10-Aug-25	UW	45.37	26
18-Sep-25	UW	49.24	31
28-Apr-26	N	129.30	110
23-Jul-26	OW	122.83	162

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
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